

**How do inflation-control strategies from the 1970s oil shock
compare with central bank responses to post-pandemic inflation
in the 2020s?**

Research Paper By Aisshaaria Gupta

1. Introduction

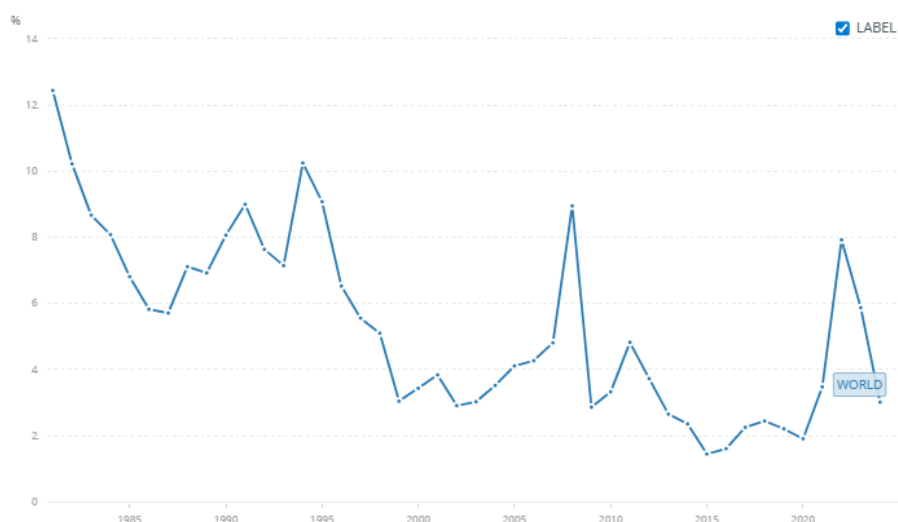
Inflation is the persistent growth of prices of goods and services in an economy, which leads to the decline in purchasing power over a period of time (International Monetary Fund, 2019; Investopedia, 2025; McKinsey, 2024). As an illustration, in the United States, the average cost of a cup of coffee increased by more than sixfold, from 0.25 to 1.59 between the years of 1970 and 2019, which demonstrates the prolonged effects of inflation on the daily costs (McKinsey, 2024). The majority of economies gauge inflation by the use of price indexes e.g. consumer price index (CPI), and then prefer to have the inflation rate at approximately 2 percent per annum, which is most often held to mean that prices do not alter (McKinsey, 2024; Wikipedia, 2001).

In the macroeconomic realm, however, inflation may yield far reaching impacts, both negative and positive. Moderate inflation helps the economy to sustain employment and investment thus decreasing the nominal wage rigidity, and preventing money hoarding (Wikipedia, 2001). Nevertheless, too much inflation ultimately reduces the consumer purchasing power and generates uncertainty, which may mislead investment and saving decisions (Investopedia, 2025; NBER, 2012). Observational data show that even a moderate rise in trend inflation by 7 percentage points (to 10 percent) decreased the long-term average level of GDP by more than 5 percent, which reflects the damaging consequences of high inflation rates on the economic performance (NBER, 2012).

The resounding issue to the policymakers is how to balance inflation curbing with the other macroeconomic factors. The world was facing high inflation in the seventies in response to the oil shocks that led to a tripling of the price of crude oil and a sudden increase in the rate of headline inflation (Dallas Fed, 2023; Federal Reserve History, 2025). As an example, world inflation reached its peak as the oil prices skyrocketed off the scale

destabilizing economies and economic growth. Meanwhile, the post-pandemic of the 2020s has been characterized by coordinated global inflation because of supply chain snarls, strong fiscal stimulus, and global spillovers (Dallas Fed, 2024; ANPEC, 2024). The percentage of overarching global variables explaining the variation in headline inflation increased on post-pandemic levels over pre-pandemic periods by 60.7percent to 81.3 percent in the post-pandemic relative to pre-pandemic, a clear indication of the heightened role of correlated economic shocks in inflation dynamics today (Dallas Fed, 2024).

The following research paper examines the similarity and difference between inflation-control methods deployed under 1970s oil shock and response of central banks to post-pandemic inflation in 2020s. In the pursuit of determining the most critical similarities and differences across the historical contexts, policy interventions and macroeconomic outcomes, the paper will highlight the effectiveness of policies and aim to derive lessons applicable in modern monetary governance. Evidence-based analysis and argumentation with the help of open and reliable data sources, with the use of empirical charts and figures to show the central trends and outcomes, will take place throughout.



World Bank Group. (2025). Inflation, consumer prices (annual %), World [Graph]. World Bank Data. <https://data.worldbank.org/indicator/FP.CPI.TOTL.ZG>

The chart shows an approximate global inflation rate (%) since around 1980 to 2025 and identifies major trends on the same. High inflation especially in the early 1980s (when it reached 13-14 %) was mainly due to the economic legacies of the 1970s oil shock and the drastic countermeasures, which had been adopted to counter it. After this peak, inflation has hence greatly fallen in the late 80s and 90s although it has bounced up, as was the case in the early 90s. The periods of 2000s and 2010s were rather stable, as inflation rates were decreasing, except some spikes in periods of global economical disruptions, such as the one in 2008. Recently, despite the post-pandemic inflationary pressures, caused by simultaneous policy response, there was a sharp spike in inflation rates after 2020.

2. Historical Context: The 1970s Oil Shock

2.1 Origins and Geopolitical Background

The oil shock of the 1970s was one of the most important geopolitical and economic events that redefined the economic directions in the world towards the beginning of the decade. This calamity started as the people were caught between some tensions in the Middle East. The Organization of Petroleum Exporting Countries (OPEC) was contacted in October 1973 during the Yom Kippur War, and led by the Arab members, it put an oil embargo on those countries that were found to be supporting Israel and mainly the United States and its allies. This embargo came in response to the west supporting Israel in the war, and this was a political weapon through the use of the elusive oil.

As a result of the embargo, the prices of crude oil more than quadrupled: the price rose about US\$3 per barrel in early 1973 to about US\$12 per barrel in 1974 (Dallas Fed, 2023). This thousand-percent increase was something new at the time, and injected a harsh supply-

side shock in oil-importing countries, whose shock reverberated throughout the world economy.

2.2 Short-term Economic Consequent: Inflation and Stagflation

The immediate inflationary impact of the world was immediate because of the sudden and long-lasting rise in oil prices. Oil is a basic ingredient in the transport sector, manufacture industry, and energy supply and led to a surge in the cost of goods and services. The rate of consumer price index jumped in the majority of advanced economies. Inflation taking the example of United States increased between 3.2 percent in 1972 and reached its peak in 1974 when it was at 11 percent. The United Kingdom underwent the same scenario, with its inflation increasing to over 15 percent within the same time (Federal Reserve History, 2025; IMF, 2019).

Of greater concern maybe the advent of a new and confusing economic reality- stagflation. As opposed to classical economic theory (based on the initial assumption that there is a negative correlation between unemployment and the rate of inflation [Phillips curve]), the 1970s had shown that inflation could co-exist with slow economic growth and rising unemployment. This provided a problem of indecision to policymakers who were not geared to handle a deterioration on both of these fronts i.e., increasing inflation and economic growing stagnation.

2.3 Larger Macroeconomic Implications and Structural Weaknesses

The oil shock produced very major macro-economic uncertainty. The volatile energy prices caused a volatile industrial output and they reduced consumer confidence as a result of fluctuating prices and economic concerns. The world experienced slow growth in the gross domestic product. The recession entered the United States in 1974 and 1975, and the second succession amounts to the GDP negative growth. There was also an increased rate of

unemployment- in 1973 and 1975, the rates of unemployment increased to 9% and 4.9 respectively (Federal Reserve History, 2025). There were similar symptoms of slack in the industries and inflationary pressure in the economies of Europe and other industrialized states dependent on oil.

The events revealed weaknesses in the global economic system structurally, namely, the dependence on imported oil and the insufficiency of the monetary and fiscal policy frameworks ruling at the time to deal with the supply shocks. The policy-based answer was further complexified by the collapse of the fixed exchange rate system introduced by Bretton Woods earlier in the decade, and complicating the international coordination process.

2.4 The Second Oil Shock and Protracted Inflation

The inflationary pressure received additional catalyst at the end of the decade as there was a second oil shock in 1979 predicated by Iranian Revolution. The turmoil plunged Iran into a drastic fall of its oil output and that led to doubling of oil prices again. The sequel to this second price boom was carrying inflationary pressures into the first half of the 1980s leading to additional years of economic perturbations and uncertainties (Dallas Fed, 2023).

By 1980, inflation in the U.S had hit almost 14% and in many other economies it was at much higher rates. These prolonged inflationary processes deteriorated growth expectations, raised interest rates to unprecedented levels, and transformed the focus of monetary policy all over the world.

2.5 Legacy and Policy Responses

The constantly high inflation and the lack of moving the economy out of the malaise forced the policymakers to undertake a rethink of their strategies. The 1970s oil shocks led to significant upheaval in central banking thought, leading to a shift to a much greater focus on tight inflation control, at the expense of short-term economic costs.

Even such an iconic era brought to the fore the necessity of non-diversified energy sources and energy security that compelled investments in the alternative fuel and energy-saving technologies. On policy terms, it reinforced the significance of inflation expectations control, independence of the central bank and the asserted ineffectiveness of fiscal and monetary responses in responding to supply-induced shocks.

The impact of the 1970s oil shock is deep-seated; it redefined the mechanisms and approaches of the global economy and set the grounds that even nowadays many countries deploy in the shape of the inflation-targeting policies.

Year	Crude Oil Price (USD/barrel)	US Inflation Rate (%)	UK Inflation Rate (%)	Euro Area Inflation Rate (%)
1972	3	3.2	7.7	6.3
1973	11.65	8.7	9.2	8.7
1974	12.99	11	16.5	13.2
1975	12.93	9.1	24.2	12.8
1979	35	13.3	15.3	13
1980	39.5	13.5	18	14

Year	US GDP Growth (%)	Euro Area GDP Growth (%)	US Unemployment Rate (%)	Euro Area Unemployment Rate (%)
1972	3.1	5.7	5.6	3
1973	-0.5	3.6	4.9	3.5
1974	-0.5	-0.8	5.6	4
1975	-0.2	-1	8.5	5.4
1979	2.5	3.1	5.8	6
1980	-0.3	-1.5	7.1	7.4

Sources: European Central Bank (2000), Federal Reserve History (2025), IMF and World Bank data compilations.

Above table summarizes key economic indicators from the 1970s oil shock era for major economies including the United States, United Kingdom, and the Euro area. It clearly illustrates how crude oil the prices were soaring due to OPEC embargo and other geopolitical developments as they increased to about \$3 to almost \$40 per barrel between 1972 and 1980. The relative inflation levels rose at an alarming rate and U.S. rise was peaked at around 13.5 percent and in the U.K. it was above 24 percent. Table also indicates the economics impact of these shocks where the GDP growth rates vary and unemployment rates increase in these

areas. This information confirms the macroeconomic scale and persistence of the oil supply shocks on inflation and growth, as well as in labor markets, throughout the 1970s.

3. The 1970s as a Battle against Inflation

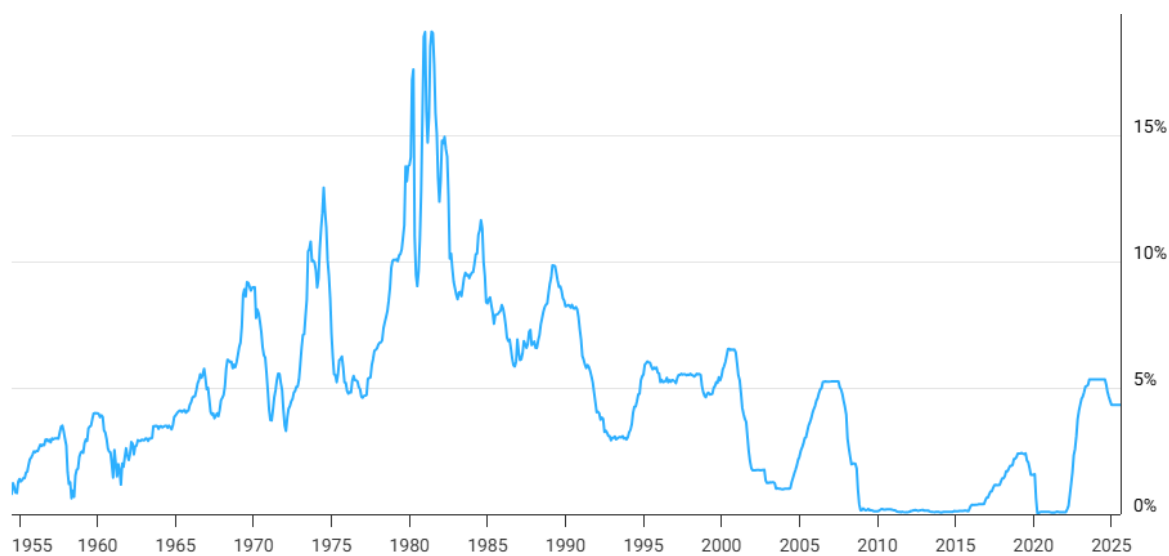
The inflationary pressures of the 1970s represented by oil shock presented unprecedented difficulties to policymakers who engaged in a mixed-bag of monetary, fiscal, and direct control policies. This part discusses the main strategies used, institutional conditions, and the mixed results thereof.

3.1 Interest rate and Monetary Tightening Policies

The monetary tightening was perhaps one of the most important instruments the fight against the inflation outburst engaged with. Central banks, especially during the Paul Volcker era of the U.S. Federal Reserve that began in 1979, practised a policy of steep interest rate increases in an attempt to contain the rate of money supply growth and to reduce inflationary expectation. Federal Reserve increased its federal funds rate to nearly 20% in June 1981, a peak never seen before as a result of its rate in the early months of 1979, which was approximately 9 percent (Federal Reserve History, 2025). This sudden tightening monetary policy was meant to exit the incessant wage-price spiral- that is, the renership of rising wages and prices.

Its impacts were huge: headline inflation in the United States dropped to around 3 percent in 1983, downward to 13.5 in 1980. Nevertheless, such a policy was accompanied by drastic negative consequences: the economy entered the phase of deep recession with GDP falling in several quarters and unemployment reaching greater than 10 percent in 1982. Contrary to this social and economic cost, the action of the Federal Reserve brought back some credibility and created an expectation of low inflation in the long term.

Further monetary tightening in other advanced economies followed, with other central banks varying the level of tightening according to local inflationary forces and local economic circumstances. Such was the case with the Bundesbank in Germany in the 1970s and the 1980s, who were maintaining very restrictive monetary policies that rhetorically contributed to keeping German inflation lower, relative to other industrialized nations.



Federal funds rate historical chart [Graph]. <https://www.macrotrends.net/2015/fed-funds-rate-historical-chart>

The graph indicates that the federal funds rate in late 1979 increased at a very high rate rising to almost 20 percent in mid-1981. This historic tightening is an expression of the willing embrace by the Federal Reserve banking to reduce inflation by increasing the cost of a borrowing, cooling down the demand in the economy. After this peak, the rate began to steadily fall because inflation was disappearing and economic growth began to pick-up. During this phase of high interest rates there was a deep recession but it was instrumental in ending the nagging inflation issue that dogged the U.S economy since the oil shocks of the seventies.

3.2 Controlling Wage Price

Simultaneously with the actions of monetary policy, multiple governments async used direct interventionist strategies of wage and price controls in order to slow down inflation. President Nixon has carried out several wage and price freeze in the United States beginning with 90-day price freeze that started in August 1971 and further controls throughout the 1970s (ECB, 2000). Such controls were setup to shatter beliefs of inflation by freezing prices and long term wages.

Likewise, incomes policies in the United Kingdom tried to curb increasing wages with the aim of avoiding the spread of cost-push inflation to the rest of the economy. But such controls tended to be hard to maintain, caused distortions in the marketplace and shortages and black market phenomena, and did not provide any lasting reductions in inflation. After deregulation, there was invariably a rush in prices which introduced unstable inflation forces.

3.3 Fiscal Policy and Political Constraints

More opaque were responses to inflationary pressures in the 1970s in fiscal policy. Although economic theory implied that it is possible to curb demand-pull inflation by cutting fiscal deficit, in reality, political factors constrained the extent of austerity. Increasing unemployment and social strife caused a reluctance amongst governments to take measures to make fiscal policy tight, which posed a conflict between moderating inflation and maintaining growth imperative.

To take a case in point, government expenditure levels in the United States and most countries in Europe remained relatively expensive partly in an attempt to counteract recessionary forces, a fact that made the work of the central banks incurring inflation very challenging. This tradeoff was characteristic of the larger policy trade-off of that time which was the stagflation period of simultaneous inflation and stagnation that were both occurring

at the same time and were hard to deal with within the traditional macroeconomic frameworks.

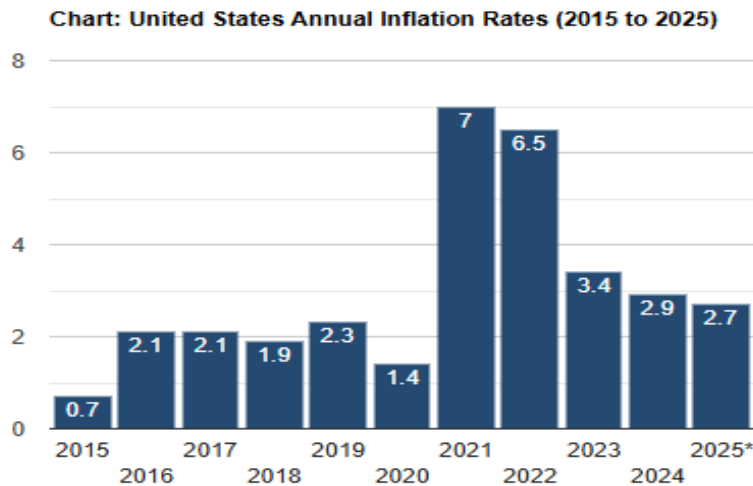
3.4 Institutional Change: independence of central banks and central bank credibility

Another critical issue that came to be realized during the 1970s was the role of institutional forces in the inflation control specifically the central bank independence. In earlier years, political interests in short-term growth or employment frequently intervened to affect monetary policy at the expense of price stability. The continuation of inflation even with embracement of tightening attributes showed that the monetary authorities had to be given greater freedom.

A critical factor was the resilience shown by the Federal Reserve when it was eventually able to pledge interests rates as high as it could even against all political and popular pressure. This increased autonomy gave the central banks the ability to develop credibility that was indispensable in controlling the inflation expectations- now perceived as the major proponent of inflation dynamics. The development of this institutional approach to inflation was the basis of contemporary inflation targeting regimes that are popular across most countries since the 1990s (IMF, 2018).

4. Post-Pandemic Inflation in the 2020s

The economic effects of the COVID-19 pandemic in the early 2020s created extraordinary disruptions to economies around the world and has once again challenged central banks and policymakers with rising inflation. It is critical to understand factors and forces underlying this post-pandemic inflation in light of responding to control inflation during this era.



U.S. inflation rates: 2000-2025 [Graph].

<https://www.usinflationcalculator.com/inflation/current-inflation-rates/>

The above graph is particularly notable in that it shows a sudden surge in the U.S inflation rates that had been recorded at around 1.2 per cent in the year 2020 up to an all-time high of around 9.1 per cent in mid-2022 due to reasons that include supply chain manipulations around the pandemic, robust fiscal aggression, and economic opening at high rates. Inflation has since cooled off but hovers at a high level of about 3 per cent to the end of 2024 and into 2025.

4.1 COVID-19 and Supply Chain Disruptions Economic Impact 4.1

Many disastrous supply chain collapses happened to global supplies across key industries like semiconductors and shipping, as well as raw materials, due to the pandemic. There were lockdowns and labour-shortages which rattled production and logistics but demand surged back quickly as economies reopened. This situation challenged by the limitation of the supply and strong demand led to the increase in the prices of various products and services across a broad range.

Advanced economies experienced amplified supply shocks due to large fiscal stimulus packages and very accommodative monetary policies introduced in mitigating the economic impact of the pandemic. As an example, the United States issued more than 5 trillion dollars of fiscal stimulus during 2020-2022, and central banks retained low interests and mass purchases of assets (quantitative easing).

4.2 Inflation Trends: 2020 to 2025

These pressures could also be seen in inflation rates across the world, with a sharp increase in consumer price inflation rates in the United States, Eurozone and other advanced economies. In the United States, inflation went up exacerbating in the middle of 2022 to 9.1%, the highest in forty years (Bureau of labor statistics, 2023). There was also an increase in inflation in the Eurozone of approximately 0.5 percent to 8.4 percent during the same period of time (Eurostat, 2023). There were inflationary pressures in the emerging markets because of commodity price shocks amplified by depreciation of the currency.

Recent figures (until 2024) are showing some normalization but remains high in comparison to the levels before the pandemic all caused by still ongoing supply imbalances mediated by the geopolitical tensions and energy volatility (Dallas Fed, 2024; IMF, 2024).

4.3 Global and Regional Comparison

The post-pandemic inflation has been worldwide but has been brought about by varying intensity of structural conditions and associated responses to it. The American economy and regions in Europe were the worst hit due to high inflation rates whilst countries with better supply chains or fiscalism and monetary strategies recorded low effects. As an example, the Japanese inflation was kept relatively low by the underwhelming demand and varied monetary policies.

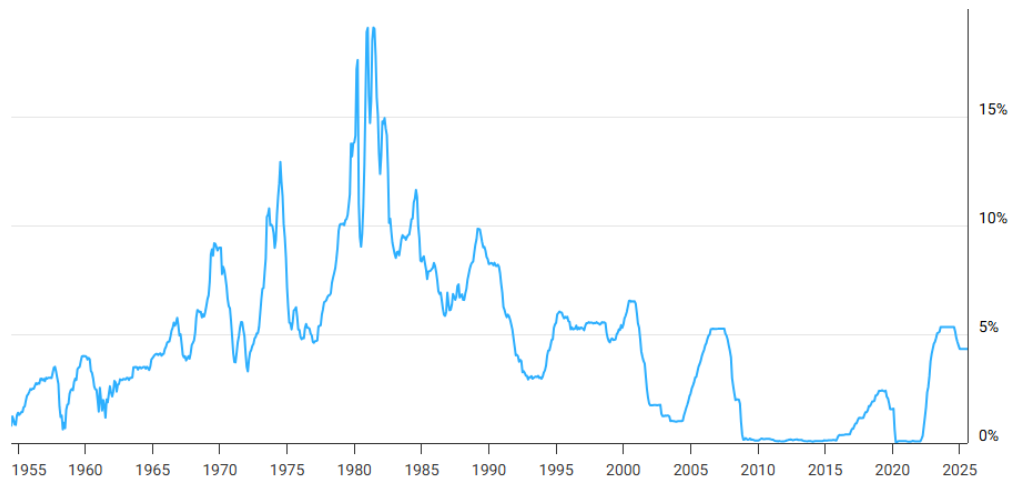
A hallmark of the inflation boom in the 2020s is a larger contribution of international phenomena to inflation volatility. A recent Federal Reserve study finds that the global impact of inflation in the post-pandemic economy in the post-pandemic period is above 80 percent compared to about 60 percent in the pre-pandemic era, which illustrates the integrated nature of contemporary economies and the channels through which inflation shocks travel (Dallas Fed, 2024).

5. Central Bank Responses in the 2020s

The flexibility of policy response to the post-pandemic inflation acceleration was multifaceted and had precursors in the policies that central banks had developed in response to inflation as experienced in recent episodes. This section looks at the primary instruments that monetary policy implemented, as well as the strategic adjustments that central banks made in order to curb inflation and anchor their economies.

5.1 Monetary Policy Tightening: Increasing the Interest Rates and Quantitative Tightening

Unlike the long duration of ultra-easy monetary conditions in times of pandemic, central banks are characterised by rapid changes into tightening within 2021. The Federal Reserve, European Central Bank (ECB), Bank of England (BoE) and other large organizations started gradually increasing policy lending rates in order to stem the inflationary temperatures. As an example, the U.S. Federal Reserve raised the federal funds rate to about 5.25% by mid-2024, up from close to zero in early 2022--a rate and a pace of rises not witnessed since the early 1980s (Federal Reserve, 2025).



MacroTrends. (2025). Fed funds rate historical chart. <https://www.macrotrends.net/2015/fed-funds-rate-historical-chart>

As can be noted by the graph of Above, the rate of federal funds was hovering around zero levels in 2020 and 2021 as the Federal Reserve acted to boost the economy during the pandemic recession. Since early 2022, Fed started hiking rates aggressively with several hikes raising the rate to the levels above 5 percent in the middle of 2024. Such a hastened contraction is a resolute attempt to fight high inflation which reflects, albeit on a smaller scale, the monetary tightening of 1979-1982. The interest rate reached a maximum in the middle of 2024, and then it slightly softened in early 2025 as inflation moderations and economic concerns emerged.

In conjunction with rate increases, central banks began to pursue quantitative tightening (QT) regimes, to reduce the size of their balance sheets by permitting or actively selling government bonds and mortgage-backed securities that had built up when the bank purchased them to support its quantitative easing (QE) campaigns. The goal of this withdrawal of exceptional monetary ease was to diminish liquidity and disturb the terms of finance in consistency with the inflation goal.

5.2 Communication strategies and Forward Guidance

Refined forward guidance and communication were also adopted by central banks, in order to control expectations of inflation, an important aspect of managing inflation that had been less codified in the 1970s. Clear communication with a guiding meritocracy with regard to the possible move of interest rates, inflation targets, and balance sheet policies served to stated the market and citizens expectations adjusting to the mounting uncertainties (IMF, 2023).

Such was the case as the communications of the Federal Reserve underlined its determination to reduce inflation back to the target of 2% in the long-term, walking a tightrope between the call to combat inflation and the need to strengthen the labor market. The ECB and the BoE have also adjusted their guidance to consider changes in the inflation threats and pricing pressures placing more weight on data dependant and flexibility.

5.3 Coordination of Fiscal Policies and Government Measures

Central banks continued to function within a complex policy setting that consisted of a high level of fiscal stimulus and energy policy reform. Even though the driving factor in regulating inflation was monetary policy, the fiscal positions of governments such as elimination or restructuring of stimulus packages influenced their inflation trends. inflation outlook further made complicated with geopolitical tensions with the war in Ukraine that increased energy price shocks.

There was a greater liaison between monetary policy and fiscal policy than had existed at the beginning of the period, the policy being less atomised. The intention of this collaboration was the balance of goals in price stability, economic recovery, and the social welfare.

5.4 Challenges and Emerging Risks

Notwithstanding the aggressive tightening of monetary policy, central banks were struggling to find the middle between supply-driven and demand-driven inflation, counteracting financial stability threats, such as the high level of debt, and combating unequal effects of inflation across industries and population groups.

Furthermore, the fact that inflation rates in various economies have continued to be recorded above targets up to 2024 worried that inflation expectations are becoming disconnected as in the past inflationary periods. Central banks closely observed the changes in wages, the price of commodities and inflation expectations survey, to understand the impact of their countermeasures and alter measures where necessary.

6. Comparative Analysis: the 1970s and the 2020s Inflation-Control Strategies

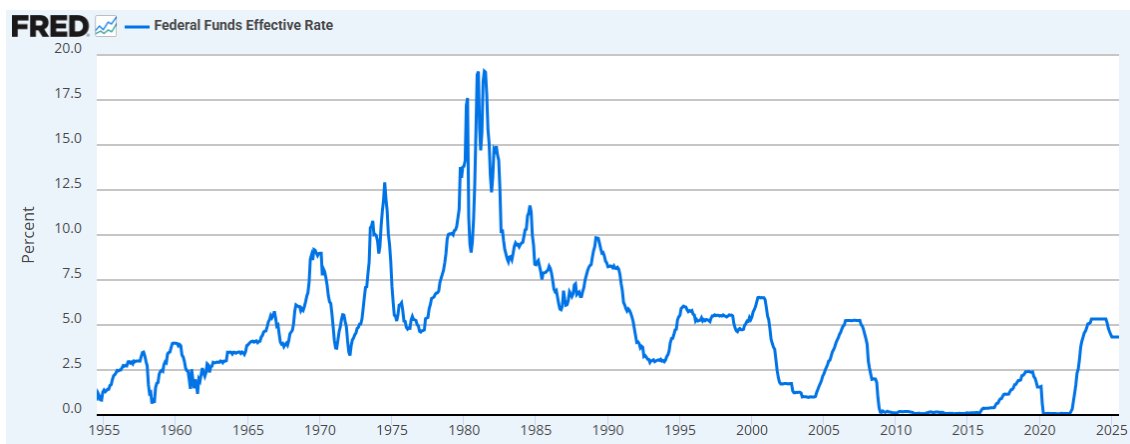
The above section conducts a comparative study of inflation-control measures that took place during the oil shock in the 1970s and the increased inflation rates of the post-pandemic period in the 2020s. Comparison of the similarities and differences between economic situations, policy instruments, institutional settings and results helps us have a better perception of the advances that occur in central banking and monetary policy solutions.

6.1 The Similarities and Differences in Challenges and Responses of Policies

In both cases, the disruption was of a supply-side character; in the 1970s the world faced oil price shocks, and in the 2020s, supply chain-related shocks of many variants. Such exogenous shocks induced inflationary pressures that were at first not open to conventional demand management.

In both periods, monetary tightening was the pillar of the central Banks reaction. The sharp increases in interest rates by the Federal Reserve in the two eras sought to minimize the inflationary expectations as well as suppressing demand. A similar policy dilemma afflicted the central banks as well: strident measures to rein in inflation threatened to bring on economic recessions and increased unemployment, and easy policies threatened to entrench inflation.

Besides, both eras revealed the necessity of an efficient management of inflation anticipation. Policymakers have been wrestling, whether in the 1970s via wage-price controls or in the 2020s via forward guidance, with how to manipulate public and market expectations to prevent a self- reinforcement of inflation process.



Reserve Bank of St. Louis. (2025). Federal Funds Effective Rate (FEDFUNDS). Retrieved from <https://fred.stlouisfed.org/series/FEDFUNDS>

Above shows the history of the Federal Reserve federal funds effective rate since 1950s to 2025, which gave incisive insights on the high levels of monetary tightening in the late 1970s and early 1980s as well as, extremely fast rises in 2020-21 after the pandemic.

6.2 Major Variations between Economic Context and Policy Tools

In spite of these similarities, there are considerable differences between the two periods. The inflation in the 1970s took place under weaker ministerial structures; general central banks were less independent and there was limited knowledge of the expectation role. Wage and price controls were more typical and a sign that government intervened directly in the markets a practice, except in pandemic years, mostly done away with in the 2020s.

The policy tools and structures of the modern monetary policy are quite sophisticated. Quantitative easing (QE) and quantitative tightening (QT)- which were not available in the 1970s- were used directly to control liquidity in the 2020s. Central banks also use highly advanced exemplars of forward guidance whereby they influence behavior in the economy ahead of time.

Also, the world economic situation is considerably changed. The current environment has seen supply chains become more globalized and complex, making inflation quite interconnected- a reason why, over 80 percent of the variance of inflation is the result of global factors due to post-pandemic world in comparison to circa 60 percent during pre-pandemic worlds. The 2020s inflation episode also features tighter coordination between fiscal-monetary policy than the more diffuse policy of the 1970s.

6.3 Outcomes and Effectiveness

The tightening of money in the 1970s eventually managed to reduce inflation but at the great expense of severe recessions and surges in unemployment. The long experience of stagflation exemplified the shortcomings of current macroeconomic model and policy instruments.

Comparatively, central banks in the 2020s have been able to restrain inflation at a slower pace, curbing concomitant spikes of unemployment so far. Nevertheless, the inflation

has remained stronger than originally anticipated and supply shocks and geopolitical risks are also concerns that persist. Credibility created due to independence of the institutions and better communication has arguably avoided break in inflation expectations as witnessed during the 1970s.

7. Lessons Learned and Future Outlook

The experience of inflation spells that took place in the 1970s and the 2020s provides useful insights to policymakers, central banks and economists in general as they seek to balance the interactivity in the supply shocks, demand patterns and monetary policy.

7.1 The Most Important Lessons of 1970s Inflation

The Great Inflation of the 1970s was a reminder of the dangers of slack and erratic policy actions. A successive inflation lost the confidence of the people and the economy became instable, a fact that underlined credible independent central banks keen on price stability. The period has proved that cash tightening can be painful but also needed to overcome an inflationary inertia. Further, it revealed the drawbacks that the wage and price controls were as durable solutions and satgflation that tested old theories in economics.

7.2 Lessons about the 2020s Inflation Response

The post-pandemic wave of inflation demonstrated the decisive role of monetary policy change that should have been accompanied by the communication approach. Forward guidance and transparent communication between central banks has enabled them to anchor the inflation expectations and avoid an inflation spiral experienced during the 1970s. The synchronization of monetary and fiscal forces was also critical when controlling inflation without excessively compromising recovery of the economy. Nevertheless, the continuance

of supply chain issues and geopolitical uncertainties showed the weaknesses that needed more systematic changes and decentralized supply systems.

7.3 Preparing for Future Inflation Dynamics

In the longer term, the complex world that is characterized by the greater economic globalization, climate change risks, technological change, as well as dynamic labour markets is a daunting environment to central banks. Policy makers should give priority:

- Ensuring the independence and credibility of the central bank in order to keep the expectations in check.
- Improving the surveillance of global supply factors, as well as, pre-emptively fixing structural bottlenecks.
- Improving the coordination of fiscal-monetary policy to enhance the best results.
- Reviewing policy frameworks to allow them to respond to changing inflation dynamics, such as possible new drivers such as digital currencies and energy transition costs.

7.4 Conclusions

The similarities and differences in the processes of inflation control in the 1970s and in the 2020s highlight the consistency and the development in the economic policy. The nature of response has not changed significantly in that monetary tightening will always be undertaken to relieve the strain of an accumulated economic surplus by reducing demand and resetting the equilibrium point on the economic curve, but there have been developments in institutional frameworks and communications patterns and in the tradition of global economic integration that have led to more subtle and dynamic responses. Such lessons will enable policymakers to deal with future episodes of inflation better to preserve the stability and prosperity of the economy.

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